

Vendor Governance Manual

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Purpose and governance model

This manual defines how Northstar Electronics selects, monitors, and escalates suppliers. It applies to product manufacturers, component suppliers, logistics providers, and technology partners that can affect customer delivery or product safety.

The model assigns an accountable Northstar owner, a risk tier, measurable service expectations, and an escalation route to every active vendor. Evidence is retained in the vendor record for audit and incident review.

Vendor Operations owns this manual. Procurement owns commercial terms, Quality Engineering owns component acceptance, and program teams own project-specific dependencies.

Contents

- 1. Purpose and governance model
- 2. Risk tiers and review cadence
- 3. Onboarding and evidence
- 4. Helios Components profile
- 5. Quality and change control
- 6. Delivery and resilience
- 7. Escalation and corrective action
- 8. Records and accountability

2. Risk tiers and review cadence

Tier 1 vendors can stop a critical product or strategic program and are reviewed monthly. Tier 2 vendors have meaningful operational impact and are reviewed quarterly. Tier 3 vendors are reviewed annually or when performance changes.

Risk ratings consider sole-source dependency, financial health, geographic concentration, cybersecurity exposure, product safety, capacity, and recovery time. A vendor may be moved to a higher tier after an incident even if annual spend is low.

Tier 1 reviews require an executive sponsor, documented backup plan, current business-continuity evidence, and open corrective actions with owners and dates.

3. Onboarding and evidence

Before purchase orders are released, the vendor record must contain legal identity, beneficial ownership checks, tax information, banking verification, security assessment where applicable, insurance, and signed contractual terms.

Quality-sensitive suppliers also provide process-control plans, traceability rules, approved manufacturing locations, and notification commitments for material or design changes.

The onboarding team records the systems, projects, or products that depend on the vendor. This relationship map is used during incidents to identify downstream impact quickly.

4. Helios Components profile

Helios Components is a Tier 1 component supplier owned by account manager Elena Ruiz and executive sponsor Marcus Lee. Its approved facility in Penang manufactures the Orion Control Module used in Northstar automation equipment.

The Orion Control Module is a required component for Project Atlas warehouse automation. Kestrel Logistics integrates the module into conveyor control cabinets, but Helios remains responsible for component manufacturing quality and lot traceability.

Because there is no fully qualified alternate Orion supplier, a Helios quality hold can affect the Project Atlas pilot schedule. The approved mitigation is a six-week safety stock plus expedited qualification of Nova Circuits.

5. Quality and change control

Suppliers must notify Northstar before changing materials, tooling, firmware, manufacturing location, or test limits. Quality Engineering decides whether new samples or formal requalification are required.

Non-conforming material is quarantined and linked to its production lot. The supplier provides containment within two business days, preliminary cause within five business days, and a corrective-action plan within ten business days unless the incident owner sets a stricter deadline.

Repeated defects can trigger enhanced inspection, cost recovery, new-business hold, or executive review. Safety-related defects are escalated immediately.

6. Delivery and resilience

Tier 1 vendors provide a rolling twelve-week capacity view and notify Northstar of expected delivery risk as soon as it becomes known. On-time delivery below 95 percent for two consecutive months requires a recovery plan.

Business-continuity plans must address power loss, flood, cyber disruption, labor interruption, and critical sub-tier failure. Plans are tested at least annually.

Project teams may not treat inventory as the only resilience control. Alternate design, alternate supplier qualification, and staged deployment should be considered when recovery would exceed the project's tolerance.

7. Escalation and corrective action

Level 1 issues are managed by the operational owner. Level 2 issues involve repeated service failure or a threatened milestone and require Vendor Operations. Level 3 issues involve safety, regulatory exposure, or material program interruption and require an executive sponsor.

Corrective actions must identify the problem, immediate containment, root cause, permanent correction, validation evidence, owner, and due date. Closure requires Northstar verification rather than supplier assertion alone.

Open Tier 1 corrective actions are reviewed weekly until risk returns to an accepted level.

8. Records and accountability

Vendor records retain review minutes, scorecards, audits, incidents, corrective actions, and major approvals for seven years. Sensitive commercial details are restricted to authorized teams.

The relationship map must identify component-to-project dependencies. For Helios Components, the current chain is Helios Components to Orion Control Module to Project Atlas, with Kestrel Logistics acting as systems integrator.

Vendor Operations performs a quarterly completeness review. Missing owners, stale continuity evidence, and overdue corrective actions are reported to the Operations Risk Committee.